ORDINANCE NO. 524

**AN ORDINANCE AWARDING AN EXCLUSIVE CONTRACT FOR COLLECTION AND DISPOSAL OF RESIDENTIAL, INDUSTRIAL AND COMMERCIAL SOLID WASTE IN AREAS OF THE CITY OF RECTOR, CLAY COUNTY, ARKANSAS TO ALAN SHELTON, DOING BUSINESS AS SHELTON SANITATION OF RECTOR, AND AUTHORIZING THE MAYOR OF THE CITY OF RECTOR TO EXECUTE THE CONTRACT AGREEMENT FOR SUCH SERVICES, AND TO DECLARE AN EMERGENCY AND OTHER PURPOSES.**

**WHEREAS**, the City of Rector, Clay County, Arkansas, has decided that it would be in the best of its citizens to award an exclusive contract for the purpose of disposing of residential, industrial and commercial solid waste for a period of five years; and

**WHEREAS**, a public meeting was held on the 4th day of June, 2007, the citizens of Rector voiced an opinion as to whether or not the services should be provided; and

**WHEREAS**, the City Council of Rector unanimously agreed that it was in the city's best interest to award an exclusive contract to Shelton Sanitation; and

**WHEREAS**, after several meetings, the city council negotiated a contract with Shelton Sanitation, after Shelton Sanitation places $15,000 in escrow with a financial institution.

**NOW, THEEFORE, BE IT ORDAINED BY THE CITY COUNCIL OF THE CITY OF RECTOR, ARKANSAS, as follows:**

**SECTION 1:** That the City Council of the City of Rector, Arkansas, hereby authorizes the Mayor to award a contract to Shelton Sanitation, for collection of disposable solid waste in the incorporated areas of the City of Rector per the contract

dated June 25, 2007 for a period of 5 years beginning October 1, 2007 ending September 30, 2012.

**SECTION 2:** That the Mayor of the city of Rector is hereby authorized to execute the contract with Shelton Sanitation as may be necessary and advisable to fully and accurately reflect the rights, duties, and obligations of the City of Rector with respect to the services to be provided by Shelton Sanitation.

**SECTION 3:** No other individual, company or entity shall be allowed to pickup and dispose of solid waste in the city limits of Rector, Arkansas.

**THEREFORE,** an emergency is declared to exist and this Ordinance is necessary for the public peace, health and safety and this Ordinance shall be in full force and effect from and after its passage and approval.

DATED this 25th day of June, 2007.

APPROVED:

Ronald E. Kemp, Mayor

ATTEST:

City Clerk

## AGREEMENT

**THIS AGREEMENT,** made this 25th day of June, 2007, by and between the city of Rector, Arkansas (hereinafter referred to as "City") and Shelton Sanitation Inc an Arkansas Corporation (hereinafter referred to as "Collector"), upon the terms and conditions hereinafter set forth.

## WITNESSETH

Whereas, ACT 742 of 1977 (sections 69 and 70), ACT 870 of 1989 and 752 of 1991 of the laws of the State of Arkansas provide that the quorum court of each county in the state is required to establish solid waste collection and disposal services and assess reasonable fees to be paid by each person or entity benefiting from such services;

Whereas, City ordinance No 524 requires all Residential and Business Units within the city of Rector, Arkansas to participate in the collection and disposal of refuse in the city.

Whereas, City and Collector desire to enter into a written agreement to evidence the respective obligations and responsibilities of the parties.

It is, therefore, agreed by and between the parties as follows:

1. **Definitions.**

   Whenever used in this agreement, the following terms shall have the meaning set forth below:

   A. "Class 4 Items" shall mean household furniture and appliances, provided that the compressors of freezers, refrigerators and air conditioners are tagged by a certified technician to verify the removal of Freon.
   B. "Garbage" shall mean animal and vegetable wastes resulting from the handling, preparation, cooking, and consumption of food that will become putrid in nature.
   C. "Putrid" shall mean anything that may be decomposed, stinkingly rotten, or tending to decompose.
   D. "Rubbish" shall indicate any solid wastes, consisting of both combustible and non-combustible wastes, such as paper, plastics, cardboard, tin or aluminum cans, glass and similar materials that would not become putrid in nature.

E. "Refuse" shall mean solid waste, including but not limited to, garbage and rubbish. The term "refuse" shall not in any way include or apply to any large household appliances, used or new car parts, other large implements, scrap metal in excess of 10 lbs, dead animals of any kind or nature, wood, limbs of trees, brush, leaves or grass.

F. "Hazardous Materials" shall mean wastes that are hazardous by reason of their pathological, explosive, radiological, or toxic characteristics or combustion of any element that are deemed to be hazardous materials by any U.S. Government, State, County or City entity by a previous law or ordinance.

G. "Residential Unit" shall mean all individual residents, house holders, or other dwellings, whether single family or multi-family located in City. Each dwelling unit located at a multi-family unit shall be considered a separate Residential Unit.

H. "Business Unit" shall include all businesses located in City.

I. "Container" shall mean 90-96 gallon plastic cart with lid;

2. **Exclusivity.** The City hereby grants to Collector exclusive right to collect refuse generated by Residential Units and Business Units located within the City, during the term and subject to the limitations and conditions set forth herein. Except upon written consent of Collector, no other private refuse collector shall be permitted by the City to provide residential or business refuse collection services within the City.

3. **Initial Term.** The term of this Agreement shall be for five (5) years beginning on October 1, 2007 and ending on September 30, 2012.

4. **Renewal.** At the end of the initial term, this agreement shall be automatically extended for additional one year term(s) unless either City or Collector provides written notice to the other party of its intention not to extend this agreement. Such notice shall be provided not less than (90) days prior to the expiration of the term then in effect.

5. **Duties of Collector.** In addition to the other obligations and duties set forth herein, Collector shall have and perform the following obligations and duties under the term of this agreement:

A. "Weekly Service" Collector shall make collection once a week of refuse of Residential Units that is placed in the supplied Container. Collection shall be made on days and during hours approved by the City. All refuse shall be placed at locations that are readily accessible to Collector's employees. It shall be the Residential Unit's responsibility to place refuse at the appropriate location for collection before the approved starting hour.

B. "Equipment" Collector shall provide an adequate number of vehicles approved by the City for its regular collection services. Collector agrees to keep such vehicles in good repair, appearance and in a sanitary condition at all times. Each vehicle shall bear the name of Collector on each side of the vehicle.

C. "Complaints" Collector shall respond to all complaints within 24 hours. When a complaint is received on the day preceding a holiday or on a Saturday, the complaint shall be serviced on the next working day.

D. "Leakage, Spillage, Etc" All refuse (and any special wastes and hazardous materials) hauled by Collector shall be adequately contained and stored so as to prevent any leakage, spillage, or blowing of any of the aforesaid items. Collector shall be responsible for immediately cleaning up and hauling off any leaked or spilled items.

E. "Litter" Collector shall not litter premises with Refuse in the process of making collections, but they shall not be required to collect material that has not been placed in the approved Container in a manner herein approved. All garbage must be bagged before being placed into the container.

6. **Special Services of Collector.** In addition to the services described in paragraph 5, Collector shall also provide the following special services:

A. "Special Handicap Service" Collector, at no additional charge, shall provide "door step" or "back-door" service to handicapped citizens. Collector shall be responsible for the initial determination of whether a Residential Unit qualifies for the service described in this subparagraph. Any disputes, however, regarding eligibility for such special service shall be resolved by the mayor.

B. "Large Item Pick Up" Collector shall provide an annual clean-up service to Residential and Business Units to collect and dispose of Class 4 items at no additional charge to the Residential Units. The City will pay additional landfill fees incurred due to this "Large Item Pick Up". The Collector shall provide a schedule of the dates of the annual clean-up.

7. **Containers.** Prior to commencement of service, Collector shall deliver a Container to each Residential Unit at Collector's expense. Additional Containers delivered to a Residential Unit due to damage, destruction or loss by the Residential Unit shall be provided at a price established by the Collector to be paid by the customer. This includes loss due to theft and destruction due to cars hitting the container. Containers shall be delivered at no cost to Residential Units where the Container is damaged or destroyed by Collector. The Containers shall remain the property of the Collector. The Collector will only empty the new blue Containers labeled Shelton Sanitation Inc.

8. **Hazardous Materials and Wastes.** No hazardous materials or other hazardous waste shall be collected by Collector unless specifically requested by the generator, approved by the City and agreed to by Collector at rates to be negotiated between the parties. Any such refuse, special waste and hazardous materials hauled by Collector shall be done so in compliance with all applicable federal and state laws.

9. **Disposal Site.** Unless otherwise agreed between City and Collector, all refuse or special waste and hazardous materials collected by Collector pursuant to this agreement shall be hauled to the Northeast Arkansas Regional Solid Waste Management District landfill.

Collector shall be responsible for all expenses and fees associated with the disposal of the refuse, special waste or hazardous materials in such landfill.

10. **Guarantee of Service.** Collector shall establish an escrow account with a financial institution, mutually agreeable to Collector and City, in the amount of $15,000.00. These funds shall be used to refund any pre-paid balance to Collector's customers in the event that the Collector does not fulfill the services for which prepayment was made.

11. **Basic Service Charges.**

A. Residential Rates. The rate for service to be charged to Residential Units for the collection of refuse shall be $12.04 per unit per month ($9.65 Collector's fee, $1.00 City's fee, $0.48 City's Franchise Tax, $0.91 sales taxes). This charge covers a weekly pickup of one 96 gallon container of trash at curb side. Residential Units requesting two containers will be charged the same rate for the second container as charged for the first container.

The Residential Unit rate shall be guaranteed for a period of three (3) years with exception to events stated in paragraph 14.

B. Business Rates. The rate for Business Units varies based on the size of dumpster, number of pickups per week, type of material being disposed of and other circumstances; but the basic charges for weekly service are as follows:

| | |
|---|---|
| Minimum monthly rate - | $ 12.65 |
| 2 yard dumpster - | $ 50.00 |
| 3 yard dumpster - | $ 65.00 |
| 4 yard dumpster - | $ 80.00 |
| 6 yard dumpster - | $110.00 |

State and local sales taxes plus the franchise tax will be added to the charges above. Charges for service required more than once per week will be negotiated between the Collector and Business Unit.

12. **Billing.**

A. Residential Units. The City shall bill each Residential Unit located in the City for the monthly collection charge indicated in paragraph 11A on the City's water bill.

i. At the end of the month, the City will pay the Collector $9.65 per Residential Unit serviced that month.

ii. The City will prepare the necessary reports and pay the state and local sales taxes to the State of Arkansas for the Residential Units.

B. Business Units. The Collector shall bill each Business Unit for the collection charge plus any state and local sales taxes plus the city's franchise tax on the 1st of the month.

i. The Collector shall be entitled to impose a 10% late fee on all bills not paid by the 15th of the month.

ii. The Collector shall bear the risk of any and all loss on accounts that are past due, delinquent or otherwise uncollectible.
iii. The Collector will prepare the necessary reports and pay the state and local sales taxes to the State of Arkansas for the Business Units

13. **Franchise Tax.** Collector shall collect, document and remit to the City on a quarterly basis a Franchise Tax in the amount of 5% of the gross revenues generated by this contract through the operation of its refuse collection activities within the city limits. The Franchise Tax shall be remitted to the City by the Collector no later that the 15th of each month following the quarterly collection period.

The Collector shall present to the City a Quarterly Revenue Report including (1) total revenue collected, (2) franchise tax collected

This applies only to revenues generated by Business Units that are billed and collected by the Collector. All Residential Units will be paying the Franchise Tax directly to the City.

14. **Unusual Changes or Costs.**
A. In the event that the federal, state or local government imposes a special tax (such as a sales tax), surcharge or other fee on Collector that is unique to the collection of Refuse, environmental clean-up or disposal concerns in Rector, Arkansas after the effective date of this Agreement, the Collector may be able to pass the special tax, surcharge or other fee along to the Residential Units. The Collector shall present to the City Council, at least sixty (60) days prior to the effective date, calculations that show the amount of special tax, surcharge or other fee that will be imposed on Collector per Residential Unit per month along with the supporting legal authority for such increase (i.e. a copy of the federal or state Act that imposes such a fee)

B. In the event that fuel rates (diesel is currently $ 2.95 per gallon) increase $1.00 per gallon or more and remain there for ninety (90) days, the Collector may come before the City Council and make a recommendation as to a possible increase in trash rates. This surcharge would then be dropped if the fuel rates goes back down and remains there for ninety (90) days.

15. **Indemnity.** Collector shall indemnify, hold harmless, and except the City, its officers, agents, servants, and employees from and against any and all suits, actions, legal proceedings, claims, demands, damages, costs, expenses, and attorney's fees incident to any negligent work done in the performance of this Agreement.

16. **Assignment.** No assignment of this agreement or any right occurring hereunder shall be made in whole or in part by Collector without the express written consent of the City. In the event of any assignment, the assignee shall assume the liability of Collector. However, such assignment shall not release Collector from any obligations or liability arising under the agreement.

17. **Bankruptcy or Insolvency.** If Collector becomes insolvent or if Collector files a petition of voluntary bankruptcy, then Collector shall be considered in default under the agreement.

18. **Permits and Licenses.** Collector shall at its own expense obtain all permits and licenses required by law or ordinance and maintain same in full force and effect.

19. **Right to Require Performance.** The failure of the City at any time to require performance by Collector of any provisions hereof shall not serve as a waiver of such performance and in no way affect the right of the City thereafter to enforce the same. Nor shall waiver by the City of any branch of any provision hereof be taken or held to be a waiver of any succeeding branch of such provision or a waiver of the provision itself.

20. **Entire Agreement.** This agreement contains the entire agreement between City and Collector, and there are not other terms, conditions, promises undertakings, statements or representations, express or implied, concerning this agreement.

21. **Notice.** Any notice required by this agreement shall be addressed and sent by certified mail via the United States Postal Service to the City and Collector as follows:

City: City of Rector
409 S Stewart Ave
Rector, AR 72461

Collector: Shelton Sanitation Inc
PO Box 328
Rector, AR 72461

22. **Illegal Provisions.** If any provision of this agreement shall be declared illegal, void or unenforceable, the other provisions that may be given effect without the illegal, void or unenforceable provision shall remain in full force and effect.

23. **Force Majeure.** Collector's performance hereunder may be suspended and its obligations excused in the event and during the period that such performance is reasonably prevented by a cause or causes beyond the Collector's control and that cannot be avoided by exercise of due care. Such causes shall include, but not limited to, acts of God, acts of war, riot, fire, explosion, accident, flood, ice storm, lack of fuel, judicial, administrative or governmental laws, regulations or requirements, labor strike, lock-out or injunction.

24. **Modification.** This contract constitutes the entire agreement and understanding between the parties hereto and it shall not be considered modified, altered, changed, or amended in any respect unless in writing and signed by the parties hereto.

25. **Headings.** The headings to the paragraphs hereof have been inserted for convenience of reference only and shall in no way modify or restrict any provisions hereof or be used to construe any such provisions.

26. **Governing Laws.** This agreement shall be governed by the laws of the State of Arkansas as to interpretation, construction and performance.

27. **Attorney's Fees.** In the event that suit is brought regarding the provisions of this agreement or the enforcement thereof, the prevailing party shall be awarded its costs of suit and reasonable attorney's fees as part of any judgment rendered therein.

28. **Covenants and Conditions.** This agreement shall be binding upon and insure to the benefit of the parties thereto and their respective successors and assigns.

Dated this 25th day of June, 2007.

City of Rector, Arkansas

By Ronald E. Kemp

Title Mayor

Shelton Sanitation Inc

By Allan Shelton

Title President

# ESCROW AGREEMENT

WHEREAS, the City of Rector, a duly incorporated city within Clay County, has entered into a contract with Shelton Sanitation Inc and Arkansas corporation.

WHEREAS, the City of Rector has required that Shelton Sanitation Inc place in escrow with a financial institution the sum of $15,000 to pay any claims that may be against Shelton Sanitation Inc during the contractual period.

WHEREAS, the Regions Financial Corporation in Rector has agreed that it will hold the $15,000 in escrow during the contract period.

WHEREAS, the money is on deposit to pay any claims that may be made against Shelton Sanitation Inc for uncollected waste during the contractual period.

WHEREAS, that in the event there has been no claim during the contractual period, then the monies may be refunded to Shelton Sanitation Inc 60 days after the expiration of the contract.

NOW THEREFORE BE CONTRACTED BETWEEN ALL PARTIES:

1. That Shelton Sanitation Inc shall place in deposit the sum of $15,000 with the Regions Financial Corporation.
2. That the $15,000 may be deposited as a Certificate of Deposit with all interest being made payable to Shelton Sanitation Inc during the contractual period.
3. In the event that a claim is made by any customer against the City of Rector for any contractual obligation that Shelton Sanitation Inc may owe because of the contract with the City of Rector, then the City of Rector shall notify Shelton Sanitation Inc and Regions Financial Corporation and request immediate payment to be made by Shelton Sanitation Inc.
4. In the event that the payment is not made by Shelton Sanitation Inc within a 30 day period of time after request, then the Regions Financial Corporation may pay the claim using the $15,000 Certificate of Deposit or what other investment that Shelton Sanitation Inc may have on deposit with that institution.
5. Regions Financial Corporation agrees that it will keep on deposit the $15,000 and will not pay the amount of monies to Shelton Sanitation Inc until the City of Rector has made approval that it has no claim against the monies at the end of the contractual period or to pay in the event that the contract as been extended for an additional period after October 1, 2007 to September 30, 2012. The $15,000 shall not be paid until 60 days after the end of the contract period.
6. All parties recognize and agree that this money is to be paid to any individual, corporation, or industrial user that may make claim for unsatisfied services.
7. Any and all charges, including attorney's fees that may be made because of this contractual obligation, shall be paid by Shelton Sanitation Inc and it shall hold the City of Rector free and harmless.

8. Nothing herein contained shall prevent Shelton Sanitation Inc from changing investment with Regions Financial Corporation to make payable to Shelton Sanitation Inc the best available interest rate. However, only the interest shall be paid to Shelton Sanitation Inc with the principal remaining during the contractual period, unless the contract has been extended. This change in financial institutions must be first approved by the City of Rector.

Ron Kemp, Mayor

Lowell McKenney, Recorder

Linda Robinson, Branch Manager of Regions Financial Corporation in Rector

Alan Shelton, President of Shelton Sanitation Inc

Dated: 7/02/07